

profits also; the past growth rate surprisingly so. The two companies will meet our seven *statistical* requirements for inclusion in a defensive investor's portfolio. These will be developed in the next chapter, but we summarize them as follows:

1. Adequate size.
2. A sufficiently strong financial condition.
3. Continued dividends for at least the past 20 years.
4. No earnings deficit in the past ten years.
5. Ten-year growth of at least one-third in per-share earnings.
6. Price of stock no more than 1½ times net asset value.
7. Price no more than 15 times average earnings of the past three years.

We make no predictions about the future earnings performance of ELTRA or Emhart. In the investor's diversified list of common stocks there are bound to be some that prove disappointing, and this may be the case for one or both of this pair. But the diversified list itself, based on the above principles of selection, plus whatever other sensible criteria the investor may wish to apply, should perform well enough across the years. At least, long experience tells us so.

A final observation: An experienced security analyst, even if he accepted our general reasoning on these four companies, would have hesitated to recommend that a holder of Emerson or Emery *exchange* his shares for ELTRA or Emhart at the end of 1970—unless the holder understood clearly the philosophy behind the recommendation. There was no reason to expect that in any short period of time the low-multiplier duo would outperform the high-multipliers. The latter were well thought of in the market and thus had a considerable degree of momentum behind them, which might continue for an indefinite period. The sound basis for preferring ELTRA and Emhart to Emerson and Emery would be the client's considered conclusion that he preferred value-type investments to glamour-type investments. Thus, to a substantial extent, common-stock investment policy must depend on the attitude of the individual investor. This approach is treated at greater length in our next chapter.